METROPOLITAN UTILITIES DISTRICT

Statements of Net Position

December 31, 2025 and 2024

Assets and Deferred Outflows of Resources	2025 Gas Department	2025 Water Department	2025 Eliminations	2025 Business-type Activities Total	2024 Gas Department	2024 Water Department	2024 Eliminations	2024 Business-type Activities Total
Captial assets:								
Utility plant in service	$ 942,731,181	1,573,186,805	—	2,515,917,986	$ 798,515,026	1,473,574,728	—	2,272,089,754
Less accumulated depreciation	284,511,120	446,923,644	—	731,434,764	266,153,262	421,085,918	—	687,239,180
Right-to-use lease assets	1,047,211	—	—	1,047,211	1,047,211	—	—	1,047,211
Less accumulated amortization	942,490	—	—	942,490	733,048	—	—	733,048
Right-to-use SBITA assets	27,870,083	—	—	27,870,083	18,461,708	—	—	18,461,708
Less accumulated amortization	11,694,118	—	—	11,694,118	8,072,336	—	—	8,072,336
	674,500,747	1,126,263,161	—	1,800,763,908	543,065,299	1,052,488,810	—	1,595,554,109
Construction in progress	81,644,886	112,530,593	—	194,175,479	146,480,514	127,175,270	—	273,655,784
Net capital assets	756,145,633	1,238,793,754	—	1,994,939,387	689,545,813	1,179,664,080	—	1,869,209,893
Noncurrent assets:								
Cash and cash equivalents – restricted	20,398,773	3,939,534	—	24,338,307	32,348,675	22,060,327	—	54,409,002
Investments - restricted	1,168,841	—	—	1,168,841	13,834,946	—	—	13,834,946
Net pension asset	20,653,022	17,688,332	—	38,341,354	—	—	—	—
Lease receivable	2,614,697	1,080,063	—	3,694,760	2,636,342	1,154,663	—	3,791,005
Other noncurrent assets	3,929,505	2,301,563	—	6,231,068	2,860,957	1,688,959	—	4,549,916
Total noncurrent assets	48,764,838	25,009,492	—	73,774,330	51,680,920	24,903,949	—	76,584,869
Current assets:								
Cash and cash equivalents	176,484,520	111,181,484	—	287,666,004	187,877,604	101,494,139	—	289,371,743
Cash and cash equivalents – restricted	1,779,562	2,951,800	—	4,731,362	5,759,375	2,800,610	—	8,559,985
Investments - restricted	9,843,293	155,406	—	9,998,699	28,881,226	8,490,422	—	37,371,648
Accounts receivable – customers and others, less allowance for doubtful accounts	50,965,557	39,844,566	—	90,810,123	62,859,192	36,004,093	—	98,863,285
Interdepartmental receivable	—	3,783,360	(3,783,360)	—	—	2,341,114	(2,341,114)	—
Natural gas in storage	8,478,162	—	—	8,478,162	5,895,625	—	—	5,895,625
Propane in storage	7,123,247	—	—	7,123,247	7,511,683	—	—	7,511,683
Lease receivable	21,644	74,600	—	96,244	19,063	71,919	—	90,982
Interest receivable	13,393	15,342	—	28,735	13,489	13,490	—	26,979
Materials and supplies	5,910,914	10,319,717	—	16,230,631	5,550,378	8,391,042	—	13,941,420
Construction materials	8,582,749	3,960,342	—	12,543,091	8,389,924	2,728,267	—	11,118,191
Prepayments	1,420,902	668,143	—	2,089,045	1,856,562	431,545	—	2,288,107
Total current assets	270,623,943	172,954,760	(3,783,360)	439,795,343	314,614,121	162,766,641	(2,341,114)	475,039,648
Total assets	1,075,534,414	1,436,758,006	(3,783,360)	2,508,509,060	1,055,840,854	1,367,334,670	(2,341,114)	2,420,834,410
Deferred Outflows of Resources								
Pension amounts	5,587,753	4,696,561	—	10,284,314	7,693,901	6,744,188	—	14,438,089
OPEB amounts	2,357,613	1,985,398	—	4,343,011	3,355,683	2,936,086	—	6,291,769
Deferred charge on refunding	—	995,959	—	995,959	—	1,276,931	—	1,276,931
Total deferred outflows of resources	7,945,366	7,677,918	—	15,623,284	11,049,584	10,957,205	—	22,006,789
Total assets and deferred outflows of resources	$ 1,083,479,780	1,444,435,924	(3,783,360)	2,524,132,344	$ 1,066,890,438	1,378,291,875	(2,341,114)	2,442,841,199

See accompanying notes to basic financial statements.

Liabilities, Deferred Inflows and Net Position	2025 Gas Department	2025 Water Department	2025 Eliminations	2025 Business-type Activities Total	2024 Gas Department	2024 Water Department	2024 Eliminations	2024 Business-type Activities Total
Net position:								
Net investment in capital assets	$ 501,157,243	578,396,744	—	1,079,553,987	$ 470,344,142	570,987,403	—	1,041,331,545
Restricted:								
Environmental	—	178,099	—	178,099	—	176,974	—	176,974
Debt service requirements-sinking fund	1,734,364	2,948,754	—	4,683,118	1,642,710	2,779,600	—	4,422,310
Net pension asset	20,653,022	17,688,332	—	38,341,354	—	—	—	—
Unrestricted	117,936,277	34,218,798	—	152,155,075	144,617,911	2,047,420	—	146,665,331
Total net position	641,480,906	633,430,727	—	1,274,911,633	616,604,763	575,991,397	—	1,192,596,160
Deferred inflows of resources								
Pension amounts	32,321,219	27,455,274	—	59,776,493	2,624,069	2,192,262	—	4,816,331
OPEB amounts	29,306,694	24,951,447	—	54,258,141	7,750,014	6,533,558	—	14,283,572
Lease amounts	2,575,171	1,063,494	—	3,638,665	2,631,357	1,153,438	—	3,784,795
Contributions in aid of construction	53,914,386	448,087,398	—	502,001,784	42,631,048	416,598,612	—	459,229,660
Total deferred inflows of resources	118,117,470	501,557,613	—	619,675,083	55,636,488	426,477,870	—	482,114,358
Noncurrent liabilities:								
Long-term debt, excluding current installments	211,371,624	192,741,250	—	404,112,874	221,493,869	210,516,020	—	432,009,889
Lease liability	—	—	—	—	116,364	—	—	116,364
SBITA liability	2,830,862	—	—	2,830,862	6,522,495	—	—	6,522,495
Self-insured risks	1,296,848	1,369,954	—	2,666,802	1,000,527	1,098,272	—	2,098,799
Net pension liability	—	—	—	—	15,324,426	13,206,800	—	28,531,226
Net OPEB liability	3,996,329	4,022,180	—	8,018,509	33,980,087	29,948,300	—	63,928,387
Other accrued expenses	2,054,573	2,730,459	—	4,785,032	2,061,768	2,147,897	—	4,209,665
Total noncurrent liabilities	221,550,236	200,863,843	—	422,414,079	280,499,536	256,917,289	—	537,416,825
Current liabilities:								
Accounts payable	47,241,105	14,108,666	—	61,349,771	50,906,724	10,493,369	—	61,400,093
Customer deposits	22,477,647	7,304,034	—	29,781,681	36,209,701	5,262,675	—	41,472,376
Customer advances for construction	986,464	34,168,639	—	35,155,103	355,953	49,138,706	—	49,494,659
Interdepartmental payable	3,783,360	—	(3,783,360)	—	2,341,114	—	(2,341,114)	—
Sewer fee collection due to municipalities	—	26,442,106	—	26,442,106	—	27,680,726	—	27,680,726
Statutory payment due to municipalities	1,347,957	814,349	—	2,162,306	1,117,979	830,562	—	1,948,541
Other accrued expenses	3,765,747	4,041,541	—	7,807,288	3,556,129	3,704,524	—	7,260,653
Current installments of long-term debt	8,315,000	18,278,051	—	26,593,051	7,945,000	17,471,784	—	25,416,784
Current installments of lease liability	116,364	—	—	116,364	225,199	—	—	225,199
Current installments of SBITA liability	4,230,976	—	—	4,230,976	3,285,775	—	—	3,285,775
Unearned revenue - firm service agreement	2,198,019	—	—	2,198,019	2,198,019	—	—	2,198,019
Accrued interest on revenue bonds	730,947	618,169	—	1,349,116	761,436	684,434	—	1,445,870
Accrued interest on SBITA's	161,461	—	—	161,461	102,652	—	—	102,652
Self-insured risks	1,495,402	2,808,186	—	4,303,588	1,251,558	3,638,539	—	4,890,097
Other liabilities	5,480,719	—	—	5,480,719	3,892,412	—	—	3,892,412
Total current liabilities	102,331,168	108,583,741	(3,783,360)	207,131,549	114,149,651	118,905,319	(2,341,114)	230,713,856
Total liabilities	323,881,404	309,447,584	(3,783,360)	629,545,628	394,649,187	375,822,608	(2,341,114)	768,130,681
Total liabilities, deferred inflows of resources, and net position	$ 1,083,479,780	1,444,435,924	(3,783,360)	2,524,132,344	$ 1,066,890,438	1,378,291,875	(2,341,114)	2,442,841,199

See accompanying notes to basic financial statements.

METROPOLITAN UTILITIES DISTRICT

Statements of Revenues, Expenses, and Changes in Net Position

December 31, 2025 and 2024

	2025			2024		
	Gas Department	Water Department	Business-type Activities Total	Gas Department	Water Department	Business-type Activities Total
Operating revenues:						
Charges for services	$ 236,629,830	174,729,563	411,359,393	$ 218,186,059	171,096,747	389,282,806
Less bad debt expense	624,222	423,624	1,047,846	530,081	188,214	718,295
Charges for services, net	236,005,608	174,305,939	410,311,547	217,655,978	170,908,533	388,564,511
Operating expenses:						
Cost of natural gas	136,272,232	—	136,272,232	104,022,598	—	104,022,598
Operating and maintenance	55,702,042	104,450,688	160,152,730	55,760,800	97,025,005	152,785,805
Depreciation and amortization	21,257,721	17,992,336	39,250,057	20,279,378	17,350,402	37,629,780
Payment in lieu of taxes	4,095,167	2,347,848	6,443,015	3,258,538	2,306,485	5,565,023
Total operating expenses	217,327,162	124,790,872	342,118,034	183,321,314	116,681,892	300,003,206
Operating income	18,678,446	49,515,067	68,193,513	34,334,664	54,226,641	88,561,305
Nonoperating revenues (expenses):						
Investment income, net	9,206,027	3,957,864	13,163,891	14,436,868	5,370,722	19,807,590
Other income (expense)	59,589	(1,059,806)	(1,000,217)	110,539	(219,038)	(108,499)
Interest expense, net	(7,762,899)	(7,305,972)	(15,068,871)	(8,019,917)	(8,028,788)	(16,048,705)
Settlement revenue	—	6,019,360	6,019,360	—	—	—
Total nonoperating revenues (expenses), net	1,502,717	1,611,446	3,114,163	6,527,490	(2,877,104)	3,650,386
Income before capital grants revenue	20,181,163	51,126,513	71,307,676	40,862,154	51,349,537	92,211,691
Capital grants	4,694,980	6,312,817	11,007,797	466,357	2,076,446	2,542,803
Change in net position	24,876,143	57,439,330	82,315,473	41,328,511	53,425,983	94,754,494
Net position, beginning of year	616,604,763	575,991,397	1,192,596,160	575,276,252	522,565,414	1,097,841,666
Net position, end of year	$ 641,480,906	633,430,727	1,274,911,633	$ 616,604,763	575,991,397	1,192,596,160

See accompanying notes to basic financial statements.

METROPOLITAN UTILITIES DISTRICT

Statements of Cash Flows

December 31, 2025 and 2024

	2025			2024		
	Gas Department	**Water Department**	**Business-type Activities Total**	**Gas Department**	**Water Department**	**Business-type Activities Total**
Cash flows from operating activities:						
Receipts from customers	$ 247,828,464	167,140,330	414,968,794	$ 207,233,312	167,006,069	374,239,381
Payments to suppliers	(157,726,388)	(63,228,956)	(220,955,344)	(94,083,147)	(70,491,588)	(164,574,735)
Cash collections on behalf of other governments	—	235,978,913	235,978,913	—	229,149,654	229,149,654
Cash disbursements to other governments	—	(229,774,047)	(229,774,047)	—	(219,939,982)	(219,939,982)
Payments to employees	(52,367,458)	(44,997,738)	(97,365,196)	(49,864,953)	(42,059,775)	(91,924,728)
Payments in lieu of taxes	(4,095,167)	(2,347,848)	(6,443,015)	(3,258,538)	(2,306,485)	(5,565,023)
Net cash provided by operating activities	33,639,451	62,770,654	96,410,105	60,026,674	61,357,893	121,384,567
Cash flows from noncapital financing activities:						
Interdepartmental loans and advances	1,641,741	(1,641,741)	—	1,963,018	(1,963,018)	—
Net cash provided by (used in) noncapital financing activities	1,641,741	(1,641,741)	—	1,963,018	(1,963,018)	—
Cash flows from capital and related financing activities:						
Plant additions	(98,254,954)	(91,696,047)	(189,951,001)	(96,951,500)	(116,965,400)	(213,916,900)
Plant removal/retirement costs	(1,991,932)	624,551	(1,367,381)	(1,842,085)	1,663,666	(178,419)
Debt issuance costs	—	—	—	(78,000)	—	(78,000)
Payments on long-term debt	(7,945,000)	(17,471,784)	(25,416,784)	(7,315,000)	(16,675,639)	(23,990,639)
Payments on line-of-credit	—	(2,281,640)	(2,281,640)	—	—	—
Proceeds from line-of-credit	—	2,281,640	2,281,640	—	—	—
Change in SBITA liabilities	(2,686,859)	—	(2,686,859)	6,665,232	—	6,665,232
Payments on lease liabilities	(225,199)	—	(225,199)	(213,963)	—	(213,963)
Proceeds from issuance of debt	—	330,239	330,239	—	—	—
Proceeds from capital grants	3,999,979	4,669,372	8,669,351	466,357	2,076,446	2,542,803
Proceeds from settlement	—	4,162,266	4,162,266			
Customer advances/CIAC	13,072,047	25,960,503	39,032,550	2,100,877	40,937,865	43,038,742
Interest paid	(9,541,823)	(8,281,301)	(17,823,124)	(9,906,807)	(9,081,894)	(18,988,701)
Net cash used in capital and related financing activities	(103,573,741)	(81,702,201)	(185,275,942)	(107,074,889)	(98,044,956)	(205,119,845)
Cash flows from investing activities:						
Interest received	9,265,712	3,956,013	13,221,725	14,625,501	5,371,573	19,997,074
Sales of investment securities	91,263,038	46,896,017	138,159,055	144,977,049	96,568,835	241,545,884
Purchase of investments	(59,559,000)	(38,561,000)	(98,120,000)	(162,686,000)	(83,448,000)	(246,134,000)
Net cash flows provided by (used in) investing activities	40,969,750	12,291,030	53,260,780	(3,083,450)	18,492,408	15,408,958
Net decrease in cash and cash equivalents	(27,322,799)	(8,282,258)	(35,605,057)	(48,168,647)	(20,157,673)	(68,326,320)
Cash and cash equivalents, beginning of year	225,985,654	126,355,076	352,340,730	274,154,301	146,512,749	420,667,050
Cash and cash equivalents, end of year	$ 198,662,855	118,072,818	316,735,673	$ 225,985,654	126,355,076	352,340,730

METROPOLITAN UTILITIES DISTRICT

Statements of Cash Flows

December 31, 2025 and 2024

	2025			2024		
	Gas Department	**Water Department**	**Business-type Activities Total**	**Gas Department**	**Water Department**	**Business-type Activities Total**
Reconciliation of operating income to net cash provided by operating activities:						
Operating income	$ 18,678,446	49,515,067	68,193,513	$ 34,334,664	54,226,641	88,561,305
Adjustments to reconcile operating income to net cash provided by operating activities:						
Depreciation and amortization						
Depreciation charged to depreciation and amortization	21,081,755	17,992,336	39,074,091	20,099,092	17,350,402	37,449,494
Depreciation charged to operating and maintenance	6,441,652	2,044,743	8,486,395	5,201,725	1,607,996	6,809,721
Amortization charged to depreciation and amortization	175,966	—	175,966	180,286	—	180,286
Amortization charged to operating and maintenance	4,337,601	370,571	4,708,172	4,474,119	493,174	4,967,293
Cash flows impacted by changes in:						
Amounts due from customers and others	12,607,699	(268,012)	12,339,687	(11,001,852)	(4,445,890)	(15,447,742)
Natural gas, propane, materials, supplies, and prepayments	(2,118,977)	(2,165,273)	(4,284,250)	2,110,141	(1,491,359)	618,782
Other noncurrent assets	(1,068,546)	(612,607)	(1,681,153)	(231,190)	(68,214)	(299,404)
Accounts payable and other	(3,220,589)	4,117,708	897,119	7,734,682	3,072,540	10,807,222
Customer deposits	(13,744,684)	2,041,359	(11,703,325)	6,404,824	(3,361,511)	3,043,313
Self-insurance and other liabilities	2,128,472	(33,257)	2,095,215	281,228	1,332,554	1,613,782
Net pension liability (asset)	(35,977,448)	(30,895,133)	(66,872,581)	(9,882,412)	(8,350,818)	(18,233,230)
Deferred inflows pension	30,311,132	25,830,601	56,141,733	(1,628,796)	(1,308,849)	(2,937,645)
Deferred outflows pension	1,492,166	1,480,038	2,972,204	10,868,366	9,387,596	20,255,962
Net OPEB liability	(29,983,758)	(25,926,120)	(55,909,878)	(4,482,949)	(4,102,893)	(8,585,842)
Deferred inflows OPEB	21,156,290	18,167,668	39,323,958	(2,433,452)	(1,629,408)	(4,062,860)
Deferred outflows OPEB	1,398,460	1,200,909	2,599,369	(1,945,617)	(1,689,288)	(3,634,905)
Deferred inflows leases	(56,186)	(89,944)	(146,130)	(56,185)	335,220	279,035
Net cash provided by operating activities	$ 33,639,451	62,770,654	96,410,105	$ 60,026,674	61,357,893	121,384,567
Supplemental schedules of noncash capital and related financing items:						
Subscription based information technology arrangments	$ (2,686,859)	—	(2,686,859)	$ 6,665,232	—	6,665,232
Construction in accounts payable	$ 5,665,283	7,899,474	13,564,757	$ 13,689,893	4,238,023	17,927,916

See accompanying notes to basic financial statements.